

COVER SHEET

SEC Registration Number

1 3 4 8 0 0

Company Name

J O L L I V I L L E H O L D I N G S
C O R P O R A T I O N A N D S U B S I D I A R I E S

Principal Office (No./Street/Barangay/City/Town)Province)

4 / F 2 0 L A N S B E R G H P L A C E B L D G .
1 7 0 T O M A S M O R A T O A V E . C O R .
S C O U T C A S T O R S T . , Q U E Z O N C I T Y

Form Type

1 7 - Q 3rd Qtr. 2025

Department requiring the report

CRMD

Secondary License Type, If Applicable

N/A

COMPANY INFORMATION

Company's Email Address

info@joh.ph

Company's Telephone Number/s

(02) 8 - 373 - 3038

Mobile Number

0966-854-4344

No. of Stockholders

31

Annual Meeting

Month/Day

Any Day in June

Fiscal Year

Month/Day

December 31

CONTACT PERSON INFORMATION

The designated contact person MUST be an Officer of the Corporation

Name of Contact Person

ORTRUD T. YAO

Email Address

ortrud_ting@joh.ph

Telephone Number/s

(02) 8 - 373 - 3038

Mobile Number

0966-854-4344

Contact Person's Address

4/F 20 LANSBERGH PLACE BLDG., 170 TOMAS MORATO AVE. COR. SCOUT CASTOR ST., QUEZON CITY

Note: In case of death, resignation or cessation of office of the officer designated as contact person, such incident shall be reported to the Commission within thirty (30) calendar days from the occurrence thereof with information and complete contact details of the new contact person designated.

JOLLIVILLE HOLDINGS CORPORATION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES REGULATION CODE AND SRC RULE 17(b)(2) THEREUNDER

1. For the quarterly period ended: **September 30, 2025**
2. SEC Identification No. **134800**
3. BIR Tax Identification No. **000-590-608-000**
4. Exact name of registrant as specified in its charter:
JOLLIVILLE HOLDINGS CORPORATION
5. Province, Country or other jurisdiction of incorporation or organization:
PHILIPPINES
6. Industry Classification Code : _____ (SEC Use Only)
7. Address of principal office and Postal Code:
**4th Floor 20 Lansbergh Place, Tomas Morato Ave. cor. Scout Castor St.,
1103 Quezon City**
8. Registrant's telephone no. and area code: **(632) 373-3038**
9. Former name, address, and fiscal year, if changed since last report:
Not applicable
10. Securities registered pursuant to Sections 4 & 8 of the RSA:

<u>Title of Each Class</u>	<u>No. of Shares of Common Stock</u>
	<u>Outstanding &/or Amount of Debt</u>
	<u>Outstanding</u>
Common Stock, ₱ 1 par value	281,500,000 shares

11. Are any or all of these securities listed on the Philippine Stock Exchange?
Yes ☒ No ☐
12. Indicate by check mark whether the registrant:
 - (a) has filed all reports required to be filed by Section 17 of the Securities Regulation Code and Sections 26 and 141 of the Corporation Code of the Philippines during the preceding 12 months (or for such shorter period that the registrant was required to file such reports):
Yes ☒ No ☐
 - (b) has been subject to such filing requirements for the past 90 days:
Yes ☒ No ☐

TABLE OF CONTENTS

FINANCIAL INFORMATION	Page No.
Item 1. Financial Statements	Exhibit I
- Unaudited consolidated Statements of Financial Position	
- Unaudited consolidated Statements of Comprehensive Income	
- Unaudited consolidated Statements of Changes in Shareholder's Equity	
- Unaudited consolidated Statements of Cash Flows	
- Notes to Financial Statements (Unaudited)	
Key Performance Indicator	Exhibit II
Aging of Accounts Receivable	Exhibit III
Schedule of Retained Earnings Available for Dividends	Exhibit IV
Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations	4-12

FINANCIAL INFORMATION

Item 1. FINANCIAL STATEMENTS

Please find attached herein the Unaudited Consolidated Financial Statements (as Exhibit I) for the third (3rd) Quarter ending September 30, 2025.

Item 2. MANAGEMENT'S DISCUSSION AND ANALYSIS OF RESULTS OF OPERATIONS AND FINANCIAL CONDITION

Results of Operations

The consolidated financial statements for the third quarter ended September 30, 2025, reflect a net loss after tax of ₱38,444,431, compared to a net income after tax of ₱82,049,532 for the same period in 2024. The decrease in net income (loss) of this period is mainly due to higher cost of services and lower generation from our power business.

Power sales from Ormin Power Inc. (OPI) decreased by 3.52%, from ₱793,492,140 in Q3 2024 to ₱765,561,253 in Q3 2025. The Calapan Diesel Power Plant (CDPP) recorded an increase in revenue of ₱77,099,881 due to improved operational efficiency. However, the Inabasan Mini Hydro Power Plant (IMHPP) posted a revenue decline of ₱105,030,768, primarily due to a business interruption beginning February 13, 2025 until May 15, 2025.

Water service revenues rose by 17.18% or ₱40,521,377 from ₱235,924,326 in Q3 2024 to ₱276,445,703 in Q3 2025. This increase was driven by the implementation of new water rates in Calapan service area and higher water production volumes across service areas. The total subscriber base grew by 3.64%, from 26,580 in Q3 2024 to 27,547 in Q3 2025.

Rental revenues increased by 12.78% or ₱5,303,036 from ₱41,495,376 in 2024 to ₱46,798,412 in 2025. This resulted from increase in rental rates and additional lessees during the period.

Revenue from technical services grew by 3.61% or ₱748,122 from ₱20,702,200 in 2024 to ₱21,450,322 in 2025, primarily due to rate increase in technical service fees.

Cost of services increased by 16.06% or ₱132,915,322 mainly driven by higher fuel expenses in the power segment, along with increased depreciation and power costs in the water operations.

Operating expenses increased by 9.56% or ₱10,648,133 for the period. The increase is attributable to higher taxes and license expenses, higher incidental costs associated with project bidding, higher repairs and maintenance costs and professional fees paid.

Net other charges decreased by 3.80% or ₱2,314,626 for the nine months ended September 30, 2025. This resulted from higher interest income earned from cash and cash equivalents and lower interest expense incurred during the period.

Income tax expense decreased by 22.18% or ₱2,113,218 during the period mainly due to lower income from the operations. On November 8, 2024, the Corporate Recovery and Tax Incentives for Enterprises to Maximize Opportunities for Reinvigorating the Economy (CREATE MORE) Act was signed into law, with effectivity date of November 28, 2024. This Act introduces several tax reforms, including a reduction in the corporate income tax rate for registered business enterprises from 25% to 20% and enhanced deductions, such as a 100% additional deduction for power expenses.

Non-controlling interest represents non-controlling stockholders' share in the net income or loss of 2Big Philippines Inc. and subsidiaries and Philippine Hydro Electric Ventures, Inc. and a subsidiary. The fluctuation in this account is tied-in to the operating results and to their overall ownership in these subsidiaries.

Financial Position

Total assets decreased by 0.41% or ₱28,724,679 from ₱7,010,118,521 as of December 31, 2024 to ₱6,981,393,842 as of September 30, 2025.

The decrease was primarily came from property, plant and equipment account. It decreased by 1.72% or ₱58,705,807 from ₱3,416,428,750 as of December 31, 2024 to ₱3,357,722,943 as of September 30, 2025. This is due to the net effect of additional capital expenditures and additional depreciation and amortization during the period.

Cash and cash equivalents account increased by 5.95% or ₱10,594,231 during the period, reflecting the net effect of collections and payments.

Trade and other receivables account increased by 2.22% or ₱16,559,097 during the first nine months of 2025 due to longer collection turnover from customers.

Due from related parties decreased by 2.48% from ₱119,759,782 as of December 31, 2024 to ₱116,787,754 as of September 30, 2025 due to collections from its affiliates.

Inventories amounting to ₱41,790,954 as of September 30, 2025 pertain mostly to OPI's fuel and oil. Fuel consumption is lower than the delivered amount which resulted to an increase of 3.95% or ₱1,587,022 during the period.

Other current assets slightly decreased by 0.53% or ₱2,015,651 during the first nine months of 2025. This was mainly due to the application of input VAT against output VAT liabilities, net of additional creditable withholding taxes, refund of guaranteed deposits, and supplier advances.

Investment properties increased by 1.74% or ₱32,846,505 during the period due to the capital expenditures incurred on the on-going building construction.

Following the amended lease agreement with the Tabuk LGU in April 2024, CWWC recognized an Right of Use (ROU) asset of ₱73,576,308 and a corresponding lease liability of ₱76,075,278. As of September 30, 2025, the ROU asset decreased by 3.45% or ₱2,537,114, and the lease liability decreased by 0.97% or ₱725,111.

Also included in the amended lease terms is the monthly installment of unpaid lease fee amounting to ₱41,574,959 which is also presented as part of current and noncurrent liabilities as of December 31, 2024. It decreased by 3.60% or ₱1,462,899 due to payments made to the LGU during the third quarter of 2025.

Net deferred tax assets increased by 3.13% or ₱542,191 during the period. The increase pertains to the net effect of NOLCO application and carryforward benefit of MCIT recognized for the first nine months of 2025.

Other noncurrent assets decreased by 60.19% or ₱24,623,125 during the period. This is due to use of reserve fund to settle loan obligation, refund of utilities and other deposits.

Financial assets at FVOCI was unchanged from its balances as of September 30, 2025.

Trade and other payables increased by 19.86% from ₱889,233,088 as of December 31, 2024 to ₱1,065,860,696 as of September 30, 2025. This is due to net billings from contractors.

Loans payable decreased by 11.38% or ₱136,976,503, mainly due to repayments made related to the IMHPP construction loan and short-term borrowings. CWWC's loan for Phase 1 of its waterworks rehabilitation was fully settled in 2024. OPI's loan for its Calapan Diesel Power Plant expansion has been fully paid last July 15, 2025.

Due to related parties decreased by 5.64% from ₱267,710,992 as of December 31, 2024 to ₱252,607,220 as of September 30, 2025. This is due to net effect of payments and additional advances from affiliates for working capital purposes.

On March 4, 2025, JOH received from the SEC the Certificate of Filing the Notice of Property Dividend Declaration dated February 27, 2025, which approved the dividend amount of ₱152,778,415. As a result, dividends payable increased by 91.93% during the period.

The income tax payable as of December 31, 2024 was due and paid in April 2025. The income tax payable as of September 30, 2025 consists of income tax accruals for the third quarter of 2025. Income tax payable decreased by 24.49% as of September 30, 2025.

Customers' deposits decreased by 6.88% or ₱2,799,587, relating to water meter maintenance fees collected by CWWC.

The net deferred tax liabilities slightly increased by ₱1,267 from ₱379,630,532 as of December 31, 2024 to ₱379,631,799 as of September 30, 2025.

Retirement benefits liability was unchanged from year-end.

Noncontrolling interest represents noncontrolling stockholders' share in the net income or loss of 2Big Philippines Inc. and subsidiaries and Philippine Hydro Electric Ventures, Inc. and a subsidiary. The fluctuation in this account is tied-in to the operating results and to the Group's overall ownership in these subsidiaries.

Liquidity and Solvency

The Group's cash balance increased from ₱178,090,019 as of end of 2024 to ₱188,684,250 as of September 30, 2025. The increase was due to the net effect of collection from customers and payments made to creditors. There are sufficient cash and credit to finance the operating and investing activities of the Group.

Dividends

The Parent Company held a Special Stockholders' Meeting (SSM) last February 13, 2019 for the purpose of approving the 66.03% property dividend declaration made by the Parent Company's Board of Directors on January 4, 2019. Stockholders of record as of January 18, 2019 were entitled to vote at the SSM. The property dividends to be distributed are shares of stock of 2 subsidiaries of the Parent Company, Philippine Hydro Electric Ventures Inc. ("Phil Hydro") and 2Big Philippines Inc. ("2Big"). The property dividend amounted to ₱185,862,750, comprising of 76,500,000 shares of Phil Hydro carried at ₱1.00 per share and 42,225,000 shares of 2Big carried at ₱2.59 per share. Carrying values are computed based on interim financial statements of both subsidiaries as of September 30, 2018.

Upon motion duly made and seconded, the stockholders approved, confirmed, and ratified the Board of Directors' declaration of the 66.03% property dividend.

The Board, in its meeting held on June 18, 2021, set the record date for stockholders entitled to the property dividend on August 27, 2021. The property dividend to be distributed remains to be 76,500,000 shares of PHEVI carried at ₱0.99 per share and 42,225,000 shares of 2Big Phil carried at ₱2.69 per share, or a total of ₱189,486,023.70. Carrying values are now computed based on the audited financial statements of both subsidiaries as of December 31, 2020.

On February 28, 2022, the SEC approved the reduction in par value of PHEVI's shares from ₱1.00 per share to ₱0.10 per share.

On September 20, 2022, the SEC commented that the property dividends should be valued at acquisition cost of the common shares of PHEVI and 2BIG which aggregated to ₱150.6 million.

On March 4, 2025, the Parent Company received from the SEC the Certificate of Filing the Notice of Property Dividend Declaration dated February 27, 2025, which approved the dividend amount of ₱152.8 million against the earlier disclosed amount of ₱189.5 million. The adjustment is attributed to the SEC's valuation of the property dividend cost with specific identification. The property dividend to be distributed amounting to ₱152.8 million will consist of common shares of 2BIG worth of ₱76.5 million and common shares of PHEVI worth of ₱76.3 million. Entitled shareholders shall still receive 2,717 shares of PHEVI and 150 shares of 2Big Phil for every 1,000 shares of JOH. Fractional shares shall be converted into cash and be released to the shareholders at the same time as the property dividend.

Issuances, Repurchases, and Repayments of Debt and Equity Securities

None

Events that will trigger Direct or Contingent Financial Obligation that is Material to the Company, including any Default or Acceleration of an Obligation

None

Material Off-Balance Sheet Transactions, Arrangements, Obligations (including Contingent Obligations), and Other Relationships of the Company with Unconsolidated Entities or Other Persons created during the Reporting Period

None

Known Trends, Demands, Commitments, Events or Uncertainties that will have a Material Impact on Liquidity or that are reasonably expected to have a Material Favorable or Unfavorable Impact on Net Sales/Revenues/Income from Continuing Operations

- Approval of Power Generation Rate by the Energy Regulation Commission (ERC)
On June 21, 2016, the ERC issued its Decision approving the PSA between ORMECO and OPI for the Modular Bunker Fuel-Fired Power Plant in Calapan City subject to the condition that the approved rates shall be ₱2.0931/kWh (pre-maximization) and ₱1.9686/kWh (post-maximization) as opposed to the PSA generation rate of ₱2.95/kWh.

On October 17, 2016, OPI filed an Omnibus Motion for Partial Reconsideration and for the issuance of a Status Quo Order to the ERC (Omnibus Motion). In its Omnibus Motion, OPI requested that the ERC should reconsider to (1) include the pre-operating expenses, contingency, permits/licenses and other development costs in ERC's computation of the total project cost as a component of the capacity fee and (2) use the historical average of the actual delivered energy instead of the contracted energy of 3,800,000 kWh/month and 4,939,200 kWh/month in fixing the billing determinants. In the Omnibus Motion, OPI prayed for the issuance of a Status Quo Order enjoining the ORMECO and National Power Corporation to observe the status prevailing prior to the issuance of the Decision dated June 21, 2016.

In response, the ERC issued a Status Quo Ante Order on June 6, 2017 deferring the implementation of the approved generation rates for a period of no more than six (6) months or until the issues raised in OPI's Motions have been resolved. The ERC has extended the Status Quo Order dated June 6, 2017 until the date upon which OPI received the Order of the ERC resolving OPI's Omnibus Motion.

On June 8, 2020, OPI received an ERC's Order dated September 3, 2019 partially granting OPI's Motion for Partial Reconsideration and Supplementary Motion for Reconsideration and pronounced the basic tariff rate, net of fuel, of ₱2.2959 (pre-maximization) using contracted energy of 3,800,000 kWh/month and ₱2.1522 (post-maximization) using contracted energy of 4,939,000 kWh/month.

In the said Order, ERC also directed OPI and ORMECO to file recovery and refund schemes based on the final rates approved. OPI filed its Manifestation with the ERC recognizing the aboved-mentioned rates on June 23, 2020 and also filed its Notice of Compliance on July 8, 2020, detailing the recovery and refund scheme.

On January 22, 2021, OPI filed a Motion for Clarification dated January 14, 2021, seeking to clarify or confirm whether the indexation per approved adjustment formula in the Decision dated June 21, 2016 remains applicable in computing the O&M fees. In addition, OPI requested ERC to require NPC to settle the unpaid portion of OPI's billed O&M fees pertaining to adjustment, with interest from the time it was unilaterally withheld until full payment is made, considering that OPI was detrimentally affected by the act of NPC, and has resorted to borrowings to finance its continuous operation.

Additionally, on April 15, 2021, OPI filed a Comment to ORMECO's Compliance Ad Cautelam dated July 28, 2020 and prayed that the same be duly considered in the resolution of the Recovery Scheme submitted to implement ERC Order dated September 3, 2019.

On October 24, 2022, OPI wrote a Letter-Request to the ERC for Notice of Finality. OPI asserted that, based on records, no appeal from the September 3, 2019 Order was filed by any of the parties within the reglementary period. Thus, applying the relevant provisions of the ERC's Rules of Practice and Procedure the Decision dated 21 June 2016 has already become final and unappealable. In view of the foregoing, OPI requested the Honorable Commission for the issuance of a Notice of Finality of its Decision in ERC Case No. 2011-017 RC.

Also, on January 27, 2023, OPI filed a Reply with Motion to Resolve before the ERC. OPI alleged the following:

- a. NPC has already prematurely implemented the reliefs being prayed for pre-empting the Honorable Commission's ruling;
- b. In doing so, NPC seemed to disregard the Honorable Commission's mandate as the sole approving authority to grant rates, including appropriate adjustment and/or indexation thereof;
- c. In its letter to NPC dated 26 January 2022, ERC said that NPC's inclination to suspend approved rates pending prior approval from the Honorable Commission was inappropriate and without legal basis, and that NPC should refrain from continuing its act of withholding payments absent any formal ruling of the Commission thereon;
- d. O&M Fees are subject of indexation/adjustment:
 1. The adjustment/indexation of the O&M Fees is mutually agreed upon by OPI and ORMECO under their PSA;
 2. The adjustment/indexation was approved by the Honorable Commission in its 2016 Decision;
 3. OPI did not seek reconsideration of the O&M Fees, not being part of its Omnibus Motion for Partial Reconsideration, which was resolved in the 2019 Order. Further, the 2019 Order did not order OPI to discontinue the previously approved indexation/adjustment of the O&M Fees;
 4. Subjecting the O&M Fees to the approved adjustment formula is also in accordance with Section 43 (f) of the Electric Power Industry Reform Act of 2001 ("EPIRA") providing that rates must be such as to allow the recovery of just and reasonable costs to enable the entity, in this case OPI, to operate;
 5. Adjustment/indexation is in line with the ERC's policy of allowing indexation of O&M Fees owing to its nature as recurring expenses in the operation of power plant facilities. By directly collecting from OPI, NPC conveniently failed to mention the fact that ORMECO has yet to pay its obligation to OPI and that, in turn, OPI can only fulfill its financial obligations to NPC once OPI receives payment from ORMECO.
- e. OPI prayed that its Motion for Clarification dated 14 January 2021 be resolved.

On June 6, 2023, OPI prayed that the instant Urgent Motion for Resolution be duly approved and OPI's Motion for Clarification dated January 22, 2021, be immediately resolved. On June 20, 2023, NPC prayed for the resolution of its Manifestation and Motion dated June 25, 2020, and OPI's Motion for Clarification dated January 14, 2021. On December 24, 2023, OPI prayed that the 2nd Urgent Motion for Resolution be duly considered and approved, and OPI's Motion for Clarification filed on January 22, 2021, be immediately resolved through the issuance of an Order on the following:

1. Clarifying that OPI's O&M Fees are subject to indexation/adjustment as per approved adjustment formula under the 2016 Decision; and
2. Directing NPC to settle all the unpaid portions of OPI's billed O&M Fees pertaining to the withheld adjustment amounting to P86.2 million as of September 25, 2023, and counting, plus interest from the time it was unilaterally withheld until the full payment and/or resolution thereof.

As of September 30, 2025, OPI is waiting for the ERC ORDER resolving the respective motions of the parties as well as the resolving the Refund/Recovery Scheme.

On November 3, 2025, OPI received the Order dated October 8, 2025 from ERC resolving the Motions filed by OPI, NPC and ORMECO. ERC resolved the case as follows:

1. The adjustment and indexation of Operation and Maintenance (O&M) Fees, both Local and Foreign, be maintained as stated in the Decision dated 21 June 2016;
2. OPI shall refund to the UCME funds the difference of the implemented Provisional Rate against the Final Rate within a period similar to the period of implementation. NPC shall submit to OPI, copy furnished to the Commission, NPC's calculations on receipt hereof;
3. NPC shall settle the unpaid portions of OPI's billed O&M Fees pertaining to the withheld adjustment, except the interest claimed by OPI, within a period similar to the period of implementation. OPI shall submit to NPC, copy furnished to the Commission, OPI's calculations on the withheld amount for verification of NPC, within thirty (30) days from receipt hereof; and
4. NPC and ORMECO shall pay OPI the Capital Recovery Fee (CRF) for the entire cooperation period of the PSA up to the Billing Determinant as determined in the Decision dated June 21, 2016 and supplemented by the Order dated September 3, 2019.

NPC, ORMECO, and OPI are currently in the process of deliberating on the implementation of the ERC's Order. As of September 30, 2025, and December 31, 2024, no asset or liability has been recognized in relation thereto.

- *Inabasan Mini Hydro Power Plant (IMHPP) Business Interruption*

OPI's IMHPP was shut down for repairs on February 13, 2025 and returned to its operation on May 16, 2025. While this business interruption affects the liquidity of OPI, the impact is temporary and to be mitigated by the subsidiary's business interruption insurance cover.

- *Notice of Award for Power Supply*

On January 31, 2025, OPI accepted the Notice of Award dated January 30, 2025 from Oriental Mindoro Electric Cooperative, Inc. (ORMECO) after the Company was declared as the Winning Bidder through ORMECO's Special Bids and Awards Committee. The Company's bid for Lot II-10 MW(Baseload) - Calapan City has been determined as the lowest calculated responsive bid following a competitive selection process. OPI and ORMECO execute a 15-year Power Supply Agreement in April 2025 commencing delivery on April 2027.

- *Calapan Waterworks Corporation Provisional Authority to Increase Water Rates*

Pursuant to NWRB Board Resolution No. 07-0624, Calapan Water is authorized to implement the approved water tariff under the Certificate of Public Convenience No. 001914 issued on 28 June 2024 and valid until 18 January 2033. A jurisdictional hearing was conducted on 10 March 2025, with no oppositions filed. While the application is under evaluation, the National Water Resources Board (NWRB) has issued a Provisional Authority (PA) under Board Resolution No. 03-0523 (25 May 2023), allowing interim implementation of adjusted water rates. The Provisional Authority is valid for 18 months from the date of issuance.

The implementation of the new rates will take effect starting June 2025 billing cycle and is projected to increase the average tariff charged to subscribers from ₱56.33 to ₱88.66 per cubic meter.

Cause for any Material Change from period to period which shall include Vertical and Horizontal Analyses of any Material Item

This is already incorporated in the discussion under "Results of Operations" and "Financial Position".

Seasonal Aspects that has a Material Effect on the Financial Statements

None

Material Commitments for Capital Expenditures, General Purpose of such Commitments, Expected Sources of Funds for such Expenditures

OPI has completed its 10 MW Mini Hydro Power Plant facility in San Teodoro, Oriental Mindoro. The project cost is ₱2.8 billion and financed through a term loan from the Development Bank of the Philippines. The total principal and interest released amounted to ₱1.25 billion and ₱122.7 million as of September 30, 2025.

CWWC has completed the 2nd Phase Expansion Program for Calapan City Water Supply System. Phase II involved development of new water production facilities, installation of storage facilities for the water system, and pipe laying of additional distribution lines. Phase II was estimated to cost about ₱162 million, about ₱118 million was financed through bank borrowing while the balance has been funded through internally generated funds.

Any Significant Elements of Income or Loss that did not arise from Continuing Operations

None

Financial Risk Disclosure

Please refer to Note 2 of the Notes to Consolidated Financial Statements for the description, classification and measurements applied for financial instruments of the Group.

The Group's principal financial instruments comprise of cash, receivables, short-term bank deposits, available-for-sale investments, bank loans, trade payables, due to related parties and payable to property owners. The main purpose of the Group's financial instruments is to fund the Group's operations and to acquire and improve property and equipment. The main risks arising from the use of financial instruments are liquidity risk, interest rate risk and credit risk.

The main objectives of the Group's financial risk management areas are as follows:

- To identify and monitor such risks on an ongoing basis;
- To minimize and mitigate such risks; and
- To provide a degree of certainty about costs.

The Group's Board reviews and agrees with policies for managing each of these risks. These are summarized below:

Liquidity risk

The Group seeks to manage its liquid funds through cash planning on a weekly basis. The Group uses historical figures and experiences and forecasts from its collections and disbursements. The Group's objective is to maintain a balance between continuity of funding and flexibility through valuation of projected and actual cash flow information.

Interest rate risk

The Group's exposure to market risk for changes in interest rates relates primarily to the Group's long-term borrowings. The Group's policy is to minimize interest rate cash flow risk exposures. Long-term borrowings are therefore usually at agreed interest rates. Also, the Group manages its exposure to interest rate risk by closely monitoring bank interest rates with various banks and maximizing borrowing period based on market volatility of interest rates.

Credit risk

This risk refers to the risk that a customer/debtor will default on its contractual obligations resulting in financial loss to the Group. The Group controls this risk through monitoring procedures and regular coordination with the customers. In addition, receivable balances are monitored on an ongoing basis with the result that the Group's exposure to bad debts is not significant. The Group also controls this risk by cutting its services and refusal to reconnect until the customer's account is cleared or paid.

The Group's credit risk is primarily attributable to its trade receivables. An allowance for impairment is made where there is an identified loss event which, based on previous experience, is evidence of a reduction in the recoverability of the cash flows.

Given the Group's diverse customer base, it is not exposed to large concentration of credit risk.

Currency risk is the risk that a business' operations or an investment's value will be affected by changes in exchange rates. If Philippine pesos, the Group's functional currency, has to be converted into another currency to buy or sell goods and services, or to make certain investments, a gain or loss may arise when these are converted back into pesos. This risk has been assessed to be insignificant given that all the Group's transactions are made in pesos. The Group has no investments in foreign securities.

Market risk is the risk of losses arising from changes in market prices. This usually affects an entire class of assets or liabilities. The value of investments may decline over a given period of time simply because of economic changes or other events that impact large portions of the market. Management has assessed this risk to be insignificant since the Group's financial instruments are not openly traded in the open market (stock exchange, foreign exchange, commodity market, etc.) nor does it engage in exotic financial instruments such as derivatives, spot or forward contracts and the like. The fair values of the Group's financial instruments did not change between this period and the preceding period thus no gain or loss was recognized.

JOLLIVILLE HOLDINGS CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
SEPTEMBER 30, 2025 AND DECEMBER 31, 2024
(Amounts in Philippine Pesos)

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
ASSETS		
Current Assets		
Cash and cash equivalents	P 188,684,250	P 178,090,019
Trade and other receivables	761,043,428	744,484,331
Due from related parties	116,787,754	119,759,782
Inventories	41,790,954	40,203,932
Other current assets	375,144,707	377,160,358
Total Current Assets	1,483,451,093	1,459,698,422
Noncurrent Assets		
Financial assets at fair value through other comprehensive income (FVOCI)	113,871,047	113,871,047
Investment properties	1,921,148,521	1,888,302,016
Property, plant and equipment	3,357,722,943	3,416,428,750
Right-of-use (ROU) asset	71,039,194	73,576,308
Net deferred tax assets	17,876,054	17,333,863
Other noncurrent assets	16,284,990	40,908,115
Total Noncurrent Assets	5,497,942,749	5,550,420,099
	P 6,981,393,842	P 7,010,118,521
LIABILITIES AND EQUITY		
Current Liabilities		
Current portions of:		
Trade and other payables	P 1,065,860,696	P 889,233,088
Long-term loans	209,589,382	215,601,998
Lease liability	979,502	979,502
Short-term loans	746,229,800	725,700,000
Due to related parties	252,607,220	267,710,992
Dividends payable	300,111,424	156,365,380
Income tax payable	2,494,671	3,303,551
Total Current Liabilities	2,577,872,695	2,258,894,511
Noncurrent Liabilities		
Noncurrent portion of:		
Trade payables	39,132,558	40,595,457
Long-term loans	110,517,952	262,011,639
Lease liability	74,370,665	75,095,776
Customers' deposits	37,873,353	40,672,940
Retirement benefits liability	37,090,892	37,090,892
Net deferred tax liabilities	379,631,799	379,630,532
Total Noncurrent Liabilities	678,617,219	835,097,236
Total Liabilities	3,256,489,914	3,093,991,747

(Forward)

(Carryforward)

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Equity		
Attributable to Equity Holders of Parent Company		
Capital stock	P 281,500,000	P 281,500,000
Additional paid-in capital	812,108	812,108
Revaluation surplus on investment property and property, plant and equipment - net	158,578,508	158,578,508
Cumulative unrealized fair value changes on financial assets at FVOCI	98,871,210	98,871,210
Cumulative remeasurement gain on retirement benefits liability - net	22,024,651	22,024,651
Retained earnings	2,224,355,203	2,394,139,921
Total Equity of Parent Company	2,786,141,680	2,955,926,398
Non-controlling Interests	938,762,248	960,200,376
Total Equity	3,724,903,928	3,916,126,774
	P 6,981,393,842	P 7,010,118,521

See accompanying Notes to Consolidated Financial Statements.

JOLLIVILLE HOLDINGS CORPORATION AND SUBSIDIARIES
UNAUDITED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2025 AND 2024
(Amounts in Philippine Pesos)

	Note	Quarter Ended September 30,		Nine Months Ended September 30,	
		2025	2024	2025	2024
REVENUES					
Power sales		P 265,481,045	P 297,670,367	P 765,561,253	P 793,492,140
Water services		104,859,361	79,140,621	276,445,703	235,924,326
Rental		15,507,529	13,834,628	46,798,412	41,495,376
Technical services		7,150,108	6,900,733	21,450,322	20,702,200
		392,998,043	397,546,349	1,110,255,690	1,091,614,042
COSTS OF SERVICES					
		350,384,486	291,604,659	960,654,875	827,739,553
GROSS INCOME					
		42,613,557	105,941,690	149,600,815	263,874,489
OPERATING EXPENSES					
		32,537,827	43,359,627	122,086,572	111,438,439
INCOME FROM OPERATIONS					
		10,075,730	62,582,063	27,514,243	152,436,050
OTHER INCOME (CHARGES) – Net	6	(19,226,099)	(19,027,076)	(58,542,211)	(60,856,837)
INCOME (LOSS) BEFORE INCOME TAX					
		(9,150,369)	43,554,987	(31,027,968)	91,579,213
INCOME TAX EXPENSE (BENEFIT)					
	7				
Current		1,268,991	2,726,448	7,857,447	9,704,325
Deferred		(584,128)	(509,823)	(440,984)	(174,644)
		684,863	2,216,625	7,416,463	9,529,681
TOTAL COMPREHENSIVE INCOME (LOSS)					
		P (9,835,232)	P 41,338,362	P (38,444,431)	P 82,049,532
NET INCOME (LOSS) ATTRIBUTABLE TO:					
Equity holders of the parent company		(5,792,735)	27,174,985	P (17,006,303)	P 59,868,004
Non-controlling interests		(4,042,497)	14,163,377	(21,438,128)	22,181,528
		P (9,835,232)	P 41,338,362	P (38,444,431)	P 82,049,532
TOTAL COMPREHENSIVE INCOME (LOSS) ATTRIBUTABLE TO:					
Equity holders of the parent company		P (5,792,735)	P 27,174,985	P (17,006,303)	P 59,868,004
Non-controlling interests		(4,042,497)	14,163,377	(21,438,128)	22,181,528
		P (9,835,232)	P 41,338,362	P (38,444,431)	P 82,049,532
EARNINGS (LOSS) PER SHARE					
	8	P (0.0206)	P 0.0965	P (0.0604)	P 0.2127

See accompanying Notes to Consolidated Financial Statements.

JOLLIVILLE HOLDINGS CORPORATION AND SUBSIDIARIES
UNAUDITED CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2025 AND 2024
(Amounts in Philippine Pesos)

	2025	2024
ATTRIBUTABLE TO EQUITY HOLDERS OF PARENT COMPANY		
CAPITAL STOCK – P1 par value		
Authorized – 1,000,000,000 shares		
Subscribed and fully paid		
– 281,500,000 shares	P 281,500,000	P 281,500,000
ADDITIONAL PAID-IN CAPITAL	812,108	812,108
REVALUATION SURPLUS ON		
INVESTMENT PROPERTY AND PROPERTY,		
PLANT AND EQUIPMENT - Net	158,578,508	158,578,508
CUMULATIVE UNREALIZED FAIR VALUE CHANGES		
ON FINANCIAL ASSETS AT FVOCI	98,871,210	101,636,544
CUMULATIVE REMEASUREMENT GAIN ON		
RETIREMENT BENEFITS LIABILITY - Net	22,024,651	22,024,651
RETAINED EARNINGS		
<i>UNAPPROPRIATED</i>		
Balance at beginning of year	2,208,277,171	1,981,138,842
Reversal of appropriation during the period	185,862,750	–
Property dividends declaration	(152,778,415)	–
Net income (loss) during the period	(17,006,303)	59,868,004
Balance at end of period	2,224,355,203	2,041,006,846
<i>APPROPRIATED</i>		
Balance at beginning of year	185,862,750	185,862,750
Reversal of appropriation during the period	(185,862,750)	–
Balance at end of period	–	185,862,750
Total Retained Earnings	2,224,355,203	2,226,869,596
TOTAL EQUITY ATTRIBUTABLE TO		
EQUITY HOLDERS OF PARENT COMPANY	2,786,141,680	2,791,421,407
NON-CONTROLLING INTERESTS		
Balance at beginning of year	960,200,376	866,191,087
Share in net income (loss)	(21,438,128)	22,181,528
Collection of subscription receivable	–	6,684,000
Balance at end of period	938,762,248	895,056,615
	P 3,724,903,928	P 3,686,478,022

See accompanying Notes to Consolidated Financial Statements.

JOLLIVILLE HOLDINGS CORPORATION AND SUBSIDIARIES
UNAUDITED CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2025 AND 2024
(Amounts in Philippine Pesos)

	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Income (loss) before income tax	P (31,027,968)	P 91,579,213
Adjustments for:		
Depreciation and amortization	159,502,717	132,075,383
Finance costs	57,943,571	58,278,227
Interest income	(1,878,700)	(379,744)
Net foreign exchange loss (gain)	(2,256)	(7,385)
Operating income before working capital changes	184,537,364	281,545,694
Changes in operating assets and liabilities:		
Decrease (increase) in:		
Trade and other receivables	(16,559,097)	164,473,247
Inventories	(1,587,022)	(2,838,325)
Other current assets	1,915,711	(15,017,809)
Increase (decrease) in:		
Trade and other payables	175,164,709	(87,679,281)
Customers' deposits	(2,799,587)	(2,591,730)
Cash generated from operations	340,672,078	337,891,796
Income taxes paid	(8,666,327)	(9,928,719)
Interest received	1,878,700	379,744
Net cash provided by operating activities	333,884,451	328,342,821
CASH FLOWS FROM INVESTING ACTIVITIES		
Additions to:		
Property, plant and equipment	(98,259,796)	(118,436,002)
Investment properties	(32,846,505)	-
Decrease in:		
Due from related parties	2,972,028	9,140,259
Other noncurrent assets	24,623,125	-
Net cash used in investing activities	(103,511,148)	(109,295,743)
CASH FLOWS FROM FINANCING ACTIVITIES		
Payments of:		
Loans	(190,421,815)	(251,718,090)
Interest	(52,079,932)	(58,278,227)
Dividends	(9,032,371)	(12,366,290)
Lease liability	(6,588,750)	-
Proceeds from loan availments	53,445,312	15,103,200
Increase (decrease) in due to related parties	(15,103,772)	1,150,384
Collection of subscription receivable	-	6,684,000
Net cash used in financing activities	(219,781,328)	(299,425,023)
EFFECT OF EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS	2,256	7,385
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	10,594,231	(80,370,560)
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR	178,090,019	297,730,111
CASH AND CASH EQUIVALENTS AT END OF PERIOD	P 188,684,250	P 217,359,551

(Forward)

(Carryforward)

	2025	2024
CASH AND CASH EQUIVALENTS AT END OF PERIOD		
CONSISTS OF:		
Cash on hand	P 361,000	P 364,125
Cash in banks	188,323,250	184,833,458
Cash equivalents	–	32,161,968
	P 188,684,250	P 217,359,551

See accompanying Notes to Consolidated Financial Statements.

JOLLIVILLE HOLDINGS CORPORATION AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

1. Basis of Preparation of the Financial Statements

The accompanying consolidated financial statements have been prepared on the historical cost basis except for available-for-sale investments, investment property and certain property and equipment which are stated at fair market value and appraised values, respectively. These consolidated financial statements are presented in Philippine pesos, which is the Group's functional and presentation currency under Philippine Financial Reporting Standards (PFRS). All values are rounded to the nearest peso, except when otherwise indicated.

The accounting policies have been consistently applied by the Group and are consistent with those used in the previous year. The same accounting policies and methods of computation are followed in the interim financial statements as compared with the most recent annual financial statements.

Basis of Consolidation

The consolidated financial statements include the accounts of Jolliville Holdings Corporation (the Parent Company) and the following subsidiaries held directly or indirectly through wholly and majority-owned subsidiaries.

Subsidiaries	Percentage of Ownership	
	Direct	Indirect
Ormina Realty and Development Corporation (ORDC)	100.00	
Jolliville Group Management, Inc. (JGMI)	100.00	
Servwell BPO International Inc. (Servwell)	100.00	
Jollideal Marketing Corporation (JMC)	100.00	
Ormin Holdings Corporation (OHC) and subsidiaries:	100.00	
OTY Development Corp. (OTY)		100.00
Melan Properties Corp. (MPC)		100.00
KGT Ventures, Inc. (KGT)		100.00
Ibayo Island Resort Corp. (IIRC)		100.00
NGTO Resources Corp. (NRC)		100.00
Philippine Hydro Electric Ventures, Inc. (PHEVI) and subsidiaries:	100.00	
Ormin Power, Inc. (OPI)		59.95
Inabasan Cascade Hydro Power Corp. (ICHPC)****		59.95
2Big Philippines Inc.** (2BIG)* and subsidiaries:	88.50	11.50
Calapan Waterworks Corporation (CWWC)		99.75
Nation Water Corporation (NWC)*		74.88
Tubig Bohol Corporation* (TBC)***		49.87
Greater Rosario Water, Inc. (GRWI)*		99.75

*preoperating stage

**formerly Tubig Pilipinas Corp.

*** Although the Group's equity interest in TBC is less than 50%, TBC is considered as a subsidiary because the Group's voting power over TBC is sufficient to provide the practical ability to direct and control.

**** Incorporated on November 25, 2024

Subsidiaries are consolidated from the date on which control is transferred to the Parent Company and cease to be consolidated from the date on which control is transferred out of the Parent Company. The results of subsidiaries acquired or disposed of during the year are included in the consolidated statements of comprehensive income from the effective date of acquisition or up to the effective date of disposal, as appropriate. All significant intercompany accounts, transactions, and income and expenses and losses are eliminated upon consolidation.

Where necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies in line with those used by other members of the Group.

The financial statements of the subsidiaries are prepared for the same reporting year as the Parent Company using consistent accounting policies.

Noncontrolling interests share in the net assets of consolidated subsidiaries are identified separately from the Group's equity therein. Noncontrolling interests consist of the amount of those interests at the date of the original business combination and the noncontrolling interest's share of changes in equity since the date of the combination. Losses applicable to the noncontrolling interests in excess of the noncontrolling interests share in the subsidiary's equity are allocated against the interest of the Group except to the extent that the noncontrolling interests has a binding obligation and is able to make an additional investment to cover losses.

2. **Summary of Material Accounting Policy Information**

The significant accounting policies used in the preparation of consolidated financial statements are consistently applied to all the years presented, unless otherwise stated.

Adoption of Amendments to PFRSs

The accounting policies adopted are consistent with those of the previous financial year, except for the adoption of the following amendments to PFRS Accounting Standards effective for annual periods beginning on or after January 1, 2024 -

- Amendments to PAS 1, *Presentation of Financial Statements - Noncurrent Liabilities with Covenants* – The amendments clarified that covenants to be complied with after the reporting date do not affect the classification of debt as current or noncurrent at the reporting date. Instead, the amendments require the entity to disclose information about these covenants in the notes to the consolidated financial statements.

The adoption of the amendments to PFRS Accounting Standards did not materially affect the consolidated financial statements of the Group. Additional disclosures were included in the consolidated financial statements, as applicable.

New PFRS and Amendments to PFRS in Issue But Not Yet Effective

Relevant new PFRS and amendments to PFRS, which are not yet effective as at December 31, 2024 and have not been applied in preparing the consolidated financial statements, are summarized below:

Effective for annual periods beginning on or after January 1, 2026:

- Amendments to PFRS 9, *Financial Instruments*, and PFRS 7, *Financial Instruments: Disclosures* – Classification and Measurement of Financial Assets – The amendments clarify that a financial liability is derecognized when the related obligation is discharged, cancelled, expires or otherwise qualifies for derecognition (e.g. settlement date), and introduces a policy option to derecognize financial liabilities settled through an electronic payment system before settlement date if the required conditions are met. The amendments also clarify the assessment of contractual cash flow characteristics of financial assets, the treatment of non-recourse loans and contractually linked instruments, as well as require additional disclosure requirements for financial assets and liabilities with contingent features and equity instruments classified at fair value through other comprehensive income (FVOCI). Earlier application is permitted.
- Annual Improvements to PFRS Accounting Standards Volume 11:
 - Amendments to PFRS 7, *Financial Instruments: Disclosures* – The amendments update and remove some obsolete references related to the gain or loss on derecognition on financial assets of an entity that has a continuing involvement and to the disclosure requirements on deferred differences between fair value and transaction price. The amendments also clarify that the illustrative guidance does not necessarily illustrate all the requirements for credit risk disclosure. Earlier application is permitted.
 - Amendments to PFRS 10, *Consolidated Financial Statements - Determination of a 'de facto agent'* – The amendments remove inconsistencies by clarifying that an entity must use judgment to determine whether other parties are acting as de facto agents. Earlier application is permitted.
 - Amendments to PAS 7, *Statement of Cash Flows - Cost Method* – The amendments replace the term 'cost method' with 'at cost' following the deletion of the definition of 'cost method'. Earlier application is permitted.

Effective for annual periods beginning on or after January 1, 2027:

- PFRS 18, *Presentation and Disclosure in Financial Statements* – This standard replaces PAS 1, *Presentation of Financial Statements*, and sets out the requirements for the presentation and disclosure of information to help ensure that the financial statements provide relevant information that faithfully represents the entity's assets, liabilities, equity, income and expenses. The standard introduces new categories and sub-totals in the statements of comprehensive income, disclosures on management-defined performance measures, and new principles for grouping of information, which the entity needs to apply retrospectively. Earlier application is permitted.

Under prevailing circumstances, the adoption of the foregoing new PFRS and amendments to PFRS is not expected to have any material effect on the consolidated financial statements of the Group. Additional disclosures will be included in the consolidated financial statements, as applicable.

The principal accounting policies applied in the preparation of the Group's consolidated financial statements are set out below:

Current versus Noncurrent Classification

The Group presents assets and liabilities in the consolidated statements of financial position based on current or noncurrent classification.

An asset is current when it is:

- expected to be realized or intended to be sold or consumed in normal operating cycle;
- held primarily for the purpose of trading;
- expected to be realized within twelve months after the reporting period;
- expected to be settled on demand; or
- cash and cash equivalents unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as noncurrent.

A liability is current when:

- it is expected to be settled in normal operating cycle;
- it is held primarily for the purpose of trading;
- it is due to be settled within twelve months after the reporting period;
- it is expected to be settled on demand; or
- there is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The Group classifies all other liabilities as noncurrent.

Deferred tax assets and liabilities are classified as noncurrent assets and liabilities.

Fair Value Measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a nonfinancial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 – Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the financial statements on a recurring basis, the Group determines whether transfers have occurred between Levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the assets or liability and the level of the fair value hierarchy.

Accounting Policies for Financial Instruments Upon Adoption of PFRS 9 – Policies Applied from January 1, 2019

Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

The Group recognizes financial assets or financial liabilities in the statements of financial position when it becomes a party to the contractual provisions of the instrument. In the case of a regular way purchase or sale of financial assets, recognition is done using settlement date accounting.

The classification depends on the Group's business model for managing the financial assets and the contractual terms of the cash flows.

Financial Assets

The Company classifies its financial assets in the following measurement categories:

- Financial assets measured at amortized cost;
- Financial assets measured at fair value through other comprehensive income (FVOCI) where:
 - gains and losses previously recognized are reclassified to profit and loss; and
 - gains and losses previously recognized are not reclassified to profit and loss;
- Financial assets measured at fair value through profit or loss (FVPL).

Financial assets measured at amortized cost

The amortized cost of a financial asset is the present value of future cash receipts (payments) discounted at the effective interest rate. The amortized cost of a financial asset is the amount at which the financial asset is measured at initial recognition minus principal repayments, plus or minus the cumulative amortization using the effective interest method of any difference between the initial amount and the maturity amount and minus any reduction (directly or through the use of an allowance account) for impairment or uncollectibility.

The Group classifies its financial assets as at amortized cost only if both of the following criteria are met:

- the asset is held within a business model whose objective is to collect the contractual cash flows; and
- the contractual terms give rise to cash flows that are solely payments of principal and interest.

This category includes cash and cash equivalents, receivables (excluding advances to suppliers and advances to employees for liquidation), due from related parties, and reserve fund, special bank deposit and utilities and other deposits which are held by the Group with the objective to collect the contractual cash flows.

Financial assets at FVOCI

The Group classifies the following financial assets at FVOCI:

- Equity securities which are not held for trading, and which the Group has irrevocably elected at initial recognition to recognize in this category. These are strategic investments and the Group considers this classification to be more relevant.
- Debt securities where the contractual cash flows are solely principal and interest on the principal amount outstanding and the objective of the Group's business model is achieved both by collecting contractual cash flows and selling financial assets.

This category includes equity investment at FVOCI.

Financial assets at FVPL

The Group classifies the following financial assets at FVPL:

- Debt investments that do not qualify for measurement at either amortized cost or FVOCI;
- Equity investments that are held for trading; and
- Equity investments for which the entity has not elected to recognize fair value gains and losses through other comprehensive income (OCI).

The Group does not have financial assets at FVPL.

For financial assets measured at fair value, gains and losses will either be recorded in profit or loss or OCI. For investments in equity instruments that are not held for trading, this will depend on whether the Group has made an irrevocable election at the time of initial recognition to account for the equity investment FVOCI.

The Group reclassifies debt investments when and only when its business model for managing such assets changes.

Measurement

Initial measurement

At initial recognition, the Group measures a financial asset at its fair value plus or minus, in the case of a financial asset not at FVPL, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVPL are expensed in profit or loss.

Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are solely payment of principal and interest.

Subsequent measurement

Debt instruments

There are three measurement categories into which the Group classifies its debt instruments:

- *Amortized cost:* Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortized cost. Interest income from these financial assets is included in finance income using the effective interest rate method. Any gain or loss arising on derecognition is recognized directly in profit or loss and presented in other gains (losses) together with foreign exchange gains and losses. Impairment losses are presented as separate line item in the statements of profit or loss.

Short-term receivables with no stated interest rate are measured at their invoice amounts or expected amounts of settlement without discounting, when the effect of not discounting is immaterial.

- *FVOCI:* Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at FVOCI. Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest income and foreign exchange gains and losses which are recognized in profit or loss. When the financial asset is derecognized, the cumulative gain or loss previously recognized in OCI is reclassified from equity to profit or loss and recognized in other gains (losses). Interest income from these financial assets is included in finance income using the effective interest rate method. Foreign exchange gains and losses are presented in other gains (losses) and impairment expenses are presented as separate line item in the statements of profit or loss.
- *FVPL:* Assets that do not meet the criteria for amortized cost or FVOCI are measured at FVPL. A gain or loss on a debt investment that is subsequently measured at FVPL is recognized in profit or loss and presented net within other gains (losses) in the period in which it arises.

The Group has no debt instruments measured at fair value as at September 30, 2025 and December 31, 2024.

Equity instruments

The Group subsequently measures all equity investments at fair value. Where the Group's management has elected to present fair value gains and losses on equity investments in OCI, there is no subsequent reclassification of fair value gains and losses to profit or loss following the derecognition of the investment. Dividends from such investments continue to be recognized in profit or loss as other income when the Group's right to receive payments is established.

The Group has equity instruments measured at FVOCI as at September 30, 2025 and December 31, 2024.

Impairment of Financial Assets

PFRS 9 establishes a new model, 'expected credit loss' (ECL) model, for recognition and measurement of impairments in loans and receivables that are measured at amortized cost, contract assets and debt instruments at FVOCI, but not to investments in equity instruments.

PFRS 9 provides that in measuring ECL the Company must reflect:

- An unbiased evaluation of a range of possible outcomes and their probabilities of occurrence.
- Discounting for the time value of money.
- Reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions.

ECLs are recognized in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For cash and cash equivalents, due from related parties, special bank deposit, reserve fund and utilities and other deposits, the Group applies the general approach in calculating ECLs. The Group recognizes a loss allowance based on either 12-month ECL or lifetime ECL, depending on whether there has been a significant increase in credit risk on its financial assets since initial recognition. The cash and cash equivalents and other deposits are deposited in the top banks of the Philippines and highly credible lessors and service providers, respectively. Also, the management has reasonable grounds to believe that the due from related parties and cash dividend receivable are collectible, if demanded. Moreover, should this not be the case, the Board of Directors (BOD) expect these related parties to have the support of their major stockholders to meet their obligations.

For receivables, the Group applies the simplified approach in calculating ECLs. Therefore, the Group does not track changes in credit risk, but instead recognizes a loss allowance based on lifetime ECLs at each reporting date. The Group has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

The Group considers a financial asset in default when contractual payments are 30 days past due. However, in certain cases, the Group may also consider a financial asset to be in default when internal or external information indicates that the Group is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Group. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

The Group has determined that the application of impairment requirements of PFRS 9 at January 1, 2019 and December 31, 2019 did not result into any additional impairment losses in the Company's cash and cash equivalents, due from related parties, special bank deposit, reserve fund and utilities and other deposits which are measured at amortized cost.

Financial Liabilities

The Group classifies its financial liabilities in the following measurement categories:

- Financial liabilities measured at amortized cost;
- Financial liabilities measured at FVPL;

Measurement

Financial liabilities at amortized cost are recognized initially at fair value and are subsequently measured at amortized cost using effective interest method. Interest expense and foreign exchange gains and losses are recognized in profit or loss. Any gains or losses on derecognition is also recognized in profit or loss. Financial liabilities at FVPL are measured at fair value and net gains and losses, including any interest expense, are recognized in profit or loss.

This category includes loans payable, accounts payable and other current liabilities, due to related parties and customers' deposits.

Cash and Cash Equivalents

Cash which includes cash on hand and in banks are stated at face value. Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash with original maturities of three months or less from dates of acquisition and that are subject to an insignificant risk of change in value.

Special Bank Deposit and Reserve Fund

Certain bank deposits are restricted for withdrawal by the creditor bank as hold-out fund for the Group's loan availments. These are classified as noncurrent assets.

Inventories

Inventories are stated at the lower of cost and net realizable value (NRV). Cost is determined using weighted average method. NRV is the estimated selling price in the ordinary course of business, less estimated cost necessary to make the sale.

Other Current Assets

This account comprises the following:

- *Input tax* is recognized when an entity in the Group purchases goods or services from a Value Added Tax (VAT)-registered supplier. This account is offset, on a per entity basis, against any output tax previously recognized.
- *Prepayments* are apportioned over the period covered by the payment and charged to the appropriate account in the consolidated statements of comprehensive income when incurred. These are expected to be realized for no more than 12 months after the reporting period and are classified as current assets. Otherwise, these are classified as other noncurrent assets.
- *Creditable withholding tax* is deducted from income tax payable in the same year the revenue is recognized.

Investments in Associates

An associate is an entity in which the Group's ownership interest ranges between 20% and 50% or where it has significant influence and that is neither a subsidiary nor an interest in joint venture. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not in control or joint control over those policies.

The Group carries its investment in an associate at cost, increased or decreased by the Group's equity in net earnings or losses of the investee Group since date of acquisition and reduced by dividends received. Equity in net losses is recognized only up to the extent of acquisition costs.

Investment Property

Investment property represents property held either to earn rental income or for capital appreciation or both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes.

Investment property is accounted for under the fair value model. Generally, it is revalued on a regular basis and is included in the Group's consolidated statements of financial position at its fair value. Fair value is supported by market evidence and is determined by independent appraisers with sufficient experience with respect to both the location and the nature of the investment property.

Investment property, which consists mainly of land, buildings and condominium units, is initially measured at acquisition cost, including transaction costs.

Any gain or loss resulting from either a change in the fair value or the sale or retirement of an investment property is immediately recognized in profit or loss as fair value adjustment on investment property under other income (charges) in the Group's consolidated statements of comprehensive income. In case of fair value loss and there is a carrying revaluation surplus balance as a result of transfer from property, plant and equipment carried at appraised value, the loss shall be applied first to the balance of revaluation surplus before recognizing the remaining loss to profit or loss.

Investment property is derecognized upon disposal or when permanently withdrawn from use and no future economic benefit is expected from its disposal.

A Group-occupied property classified under property and equipment account becomes an investment property when it ends Group-occupation.

Property, Plant and Equipment

Property, plant and equipment, except land and construction in progress, are stated at cost less accumulated depreciation and amortization and any impairment in value. Land is carried at cost less any impairment in value.

Initial cost of property, plant and equipment comprises its construction cost or purchase price and any directly attributable cost of bringing the assets to its working condition and location for its intended use. Expenses incurred and paid after the property, plant and equipment have been put into operation, such as repairs and maintenance and overhaul costs, are normally charged to income when the costs are incurred. In situation where it can be clearly demonstrated that the expenditures have resulted in an increase in the future economic benefits expected to be obtained from the use of an item of property, plant and equipment beyond its originally assessed standard of performance, the expenditures are capitalized as an additional cost of property, plant and equipment.

Depreciation and amortization is computed using the straight-line method over the following estimated useful lives except for leasehold improvements which are amortized over the estimated useful life of the assets or term of the lease, whichever is shorter.

	Number of Years
Land and improvements	5 to 20
Building and improvements	10 to 40
Power plant facilities and equipment	3 to 40
Furniture and fixtures	5 to 10
Water utilities and distribution system	5 to 40
Transportation equipment	5 to 8

The residual values, useful life and depreciation and amortization method are reviewed periodically to ensure that the method and period of depreciation and amortization are consistent with the expected pattern of economic benefits from items of property, plant and equipment.

Construction in progress, included in the property, plant and equipment, is stated at cost. This includes cost of construction, equipment and other direct costs. Construction in progress and equipment for installation is not depreciated until such time as the relevant assets are completed or installed and put into operational use.

When assets are retired or otherwise disposed of, the cost and related accumulated depreciation are eliminated from the accounts, and any gain or loss resulting from their disposal is credited or charged to current operations.

Borrowing Costs

Borrowing costs are generally expensed as incurred. Borrowing costs incurred during the construction period on loans and advances used to finance construction and property development are capitalized as part of construction and development costs included under "Property, Plant and Equipment" account in the consolidated statements of financial position.

Capitalization of borrowing costs commences when the activities to prepare the asset are in progress and expenditures and borrowing costs are being incurred. Capitalization of borrowing costs ceases when substantially all the activities necessary to prepare the asset for its intended use are complete. If the carrying amount of the asset exceeds its recoverable amount, an impairment loss is recorded. Capitalized borrowing cost is based on applicable weighted average borrowing rate.

All other borrowing costs are charged to operation in the period in which they are incurred.

Impairment of Nonfinancial Assets

The carrying values of nonfinancial assets are reviewed for impairment when events or changes in circumstances indicate that the carrying values may not be recoverable. If any such indication exists and where the carrying values exceed the estimated recoverable amounts, the assets or cash-generating units are written down to their recoverable amounts. The recoverable amount of the asset is the greater of net selling price and value in use. The net selling price is the amount obtainable from the sale of an asset in an arm's length transaction less cost to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessment of the time value of money and the risks specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the smallest cash-generating unit to which the asset belongs. Impairment losses are recognized in the consolidated statement of comprehensive income in the period in which it arises unless the asset is carried at a revalued amount in which case the impairment is charged to the revaluation increment of the said asset.

A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the recoverable amount of an asset, however, not to an amount higher than the carrying amount that would have been determined (net of any depreciation and amortization) had no impairment loss been recognized for the asset in prior years.

A reversal of an impairment loss is credited to current operations.

Loans Payables

Interest-bearing bank loans are initially measured at fair value, and are subsequently measured at amortized cost, using the effective interest rate method. Any difference between the proceeds, net of transaction costs, and the settlement amount is recognized over the term of the loan in accordance with the Group's accounting policy for borrowing costs.

Gains and losses are recognized in profit or loss when the liabilities are derecognized or impaired, as well as through the amortization process.

Employee benefits

Short-term benefits

Short-term employee benefits are recognized as expense in the period when the economic benefits are given. Unpaid benefits at the end of the accounting period are recognized as accrued expense while benefits paid in advance are recognized as prepayment to the extent that it will lead to a reduction in future payments. Short-term benefits given by the Group to its employees include salaries and wage, social security contributions, short-term compensated absences, bonuses and non-monetary benefits.

Retirement benefit obligation

Retirement benefit obligation, as presented in the consolidated statement of financial position, is the aggregate of the present value of the defined benefit obligation at the end of the reporting period reduced by the fair value of plan assets, adjusted for the effect of limiting a net defined benefit asset to the asset ceiling. The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The cost of providing benefits under the defined benefit plan is actuarially determined using the projected unit credit method. The retirement benefit costs comprise of the service cost, net interest on the net defined benefit liability or asset and remeasurements of net defined benefit liability or asset.

Service costs which include current service costs, past service costs and gains or losses on non-routine settlements are recognized as expense in profit or loss. Past service costs are recognized when plan amendment or curtailment occurs. These amounts are calculated regularly by independent qualified actuaries.

Net interest on the net defined benefit liability or asset is the change during the period in the net defined benefit liability or asset that arises from the passage of time which is determined by applying the discount rate based on government bonds to the net defined benefit liability or asset. Net interest on the net defined benefit liability or asset is recognized as expense or income in profit or loss.

Remeasurements comprising actuarial gains and losses, return on plan assets and any change in the effect of the asset ceiling (excluding net interest on defined benefit liability) are recognized immediately in other comprehensive income in the period in which they arise. Remeasurements are not reclassified to profit or loss in subsequent periods.

Deposit for Future Stock Subscription

Deposit for future stock subscription which are received in view of call for future subscriptions are stated at actual amount of cash received. Deposit for future stock subscription is recorded at historical cost. This is classified as equity when all of the following criteria are met:

- a. the unissued authorized capital stock of the Company is insufficient to cover the amount of shares indicated in the contract;
- b. there is BODs' approval on the proposed increase in authorized share capital (for which a deposit was received by the Company);
- c. there is stockholders' approval of said proposed increase; and
- d. the application for the approval of the proposed increase has been presented for filing or has been filed with the Commission.

Deposits for future stock subscription is classified as a liability when the above criteria are not met.

Related Party Transactions and Relationships

Related party transactions are transfers of resources, services or obligations between the Group and its related parties, regardless whether a price is charged. Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions. These parties include: (a) individuals owning, directly or indirectly through one or more intermediaries, control or are controlled by, or under common control with the Group; (b) associates; and, (c) individuals owning, directly or indirectly, an interest in the voting power of the Group that gives them significant influence over the Group and close members of the family of any such individual.

In considering each possible related party relationship, attention is directed to the substance of the relationship and not merely on the legal form.

Foreign Currency Transactions and Translations

Transactions denominated in foreign currencies are recorded in Philippine pesos using the exchange rate at the date of the transactions. Outstanding monetary assets and liabilities denominated in foreign currencies are stated using the closing exchange rate at the end of financial reporting period. Gains or losses arising from foreign currency transactions are credited or charged directly to current operations.

Equity

- *Capital stock* is determined using the nominal value of shares that have been issued.
- *Additional paid-in capital* includes any premiums received on the initial issuance of capital stock. Any transaction costs associated with the issuance of shares are deducted from additional paid-in capital, net of any related taxes.
- *Revaluation reserves on equity investment at FVOCI* accounts are the excess (deficiency) of the fair market value over the carrying amounts of these investments. When fluctuation is deemed permanent, the gain or loss resulting from such fluctuation will be reversed and charged to profit or loss in the year that the permanent fluctuation is determined.
- *Revaluation surplus* accounts for the excess of the fair market value over the carrying amounts of "Land and improvements" and "Power plant" included under the Property, plant and equipment account and certain investment property. Any appraisal decrease is first offset against appraisal increment on earlier revaluation with respect to the same property and is thereafter charged to operations.
- *Reserve for actuarial loss* comprises the net actuarial gains and losses on the Group's retirement obligation as a result of re-measurement.
- *Retained earnings* include all current and prior period net income less any dividends declared as disclosed in the consolidated statements of comprehensive income.

Leases

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group uses the definition of a lease in PFRS 16.

As a Lessee

At the commencement date of the lease, the Group recognizes a right-of-use (ROU) asset and a lease liability, except for leases with lease terms of 12 months or less (short-term leases) and leases for which the underlying asset is of low value assets (low-value assets), in which case the lease payments associated with those leases are recognized as an expense on a straight-line basis.

ROU Asset. At commencement date, the Group measures ROU asset at cost. The cost comprises:

- i. the amount of the initial measurement of lease liabilities;
- ii. any lease payments made at or before the commencement date less any lease incentives received;
- iii. any initial direct costs; and
- iv. an estimation of costs to be incurred by the Group in dismantling and removing the underlying asset, when applicable.

The ROU asset is recognized at the present value of the liability at the commencement date of the lease, adding any directly attributable costs. After the commencement date, the ROU asset is carried at cost less any accumulated amortization and accumulated impairment losses, and adjusted for any remeasurement of the related lease liability. The ROU asset is amortized over the shorter of the lease terms or the useful lives of the underlying assets, which is 40 years.

Lease Liability. At commencement date, the Group measures lease liability at the present value of future lease payments using the interest rate implicit in the lease, if that rate can be readily determined. Otherwise, the Group uses its incremental borrowing rate.

Lease payments included in the measurement of a lease liability comprise the following:

- i. fixed payments, including in-substance fixed payments;
- ii. variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- iii. amounts expected to be payable by the lessee under residual value guarantees; and
- iv. the exercise price under a purchase option that the Group is reasonably certain to exercise; lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option; and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

Lease liability is subsequently measured at amortized cost. Interests on the lease liability and any variable lease payments not included in the measurement of lease liability is recognized in profit or loss unless these are capitalized as costs of another asset. Variable lease payments not included in the measurement of the lease liability is recognized in profit or loss when the event or condition that triggers those payments occurs.

For income tax reporting purposes, payments under operating lease agreements are treated as deductible expense in accordance with the terms of the lease agreements.

As a Lessor

Leases where the Group retains substantially all the risks and benefits of ownership of the asset are classified as operating leases. Initial direct costs incurred in negotiating an operating lease are added to the carrying amount of the leased asset and recognized on a straight-line basis over the lease term on the same basis as rental income. Rental income is recognized on a straight-line basis over the lease term. Contingent rents are recognized as revenue in the period in which these are earned.

Revenue Recognition

The Group recognizes revenue to depict the transfer of promised goods or services to the customer in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services. The Group applies the following five steps:

1. Identify the contract(s) with a customer.
 2. Identify the performance obligations in the contract. Performance obligations are promises in a contract to transfer to a customer goods or services that are distinct.
 3. Determine the transaction price. The transaction price is the amount of consideration to which an entity expects to be entitled in exchange for transferring promised goods or services to a customer. If the consideration promised in a contract includes a variable amount, an entity must estimate the amount of consideration to which it expects to be entitled in exchange for transferring the promised goods or services to a customer.
 4. Allocate the transaction price to each performance obligation on the basis of the relative stand-alone selling prices of each distinct good or service promised in the contract.
 5. Recognize revenue when a performance obligation is satisfied by transferring a promised good or service to a customer (which is when the customer obtains control of that good or service). A performance obligation may be satisfied at a point in time (typically for promises to transfer goods to a customer) or over time (typically for promises to transfer services to a customer). For a performance obligation satisfied over time, an entity would select an appropriate measure of progress to determine how much revenue should be recognized as the performance obligation is satisfied.
- *Power sales and water services* are recognized when the related services are delivered.
 - *Rental income* is recognized on a straight-line basis in accordance with the substance of the lease agreement.
 - *Technical services* comprise the value of all services provided and are recognized when rendered.
 - *Sale of goods* is recognized upon delivery of goods sold, and the transfer of risks and rewards to the customer has been completed.
 - *Interest income* is recognized on a time proportion basis that reflects the effective yield on the asset.
 - *Other income* is recognized when the related income/service is earned.

Cost and Expenses Recognition

Cost and expenses are recognized in the consolidated statements of comprehensive income when decrease in future economic benefits related to a decrease in an asset or an increase of a liability has arisen that can be measured reliably.

Income Taxes

Income taxes represent the sum of current year tax and deferred tax.

Current Income Tax

The current year tax is based on taxable income for the year. Taxable income differs from income as reported in the consolidated statement of comprehensive income because it excludes items of income or expenses that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The Group's liability for current income tax is calculated using tax rates that have been enacted or substantively enacted at the end of financial reporting period.

Deferred Income Tax

Deferred tax is provided, using the balance sheet liability method, on all temporary differences at the end of financial reporting period between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes and carryforward benefits of net operating loss carryover (NOLCO) and minimum corporate income tax (MCIT). Deferred tax assets are recognized for all deductible temporary differences to the extent that it is probable that taxable profit will be available against which the deductible temporary difference can be utilized. Deferred tax liabilities are recognized for all taxable temporary differences.

Deferred tax assets and liabilities are measured using the tax rate that is expected to apply to the period when the asset is realized or the liability is settled.

The carrying amount of deferred tax assets is reviewed at end of each financial reporting period and reduced to the extent that it is not probable that sufficient taxable income will be available to allow all or part of the deferred tax assets to be utilized.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities.

Income tax relating to items recognized directly in equity is recognized in equity and other comprehensive income.

Segment Information

For management purposes, the Group is organized into four (4) major operating businesses which comprise the bases on which the Group reports its primary segment information. The Group has no geographical segments as all of the companies primarily operate only in the Philippines.

Segment revenue, expenses and performance include transfers between business segments. The transfers are accounted for at competitive market prices charged to unaffiliated customers for similar products and services. The measurement policies the Group used for segment reporting are the same as those used in the consolidated financial statements. There have been no changes from prior periods in the measurement methods used to determine profit and loss. No asymmetrical allocations have been applied between segments.

Inter-segment assets, liabilities, revenue, expenses and results are eliminated in the consolidated financial statements.

Earnings per Share (EPS)

EPS is determined by dividing net income for the year by the weighted average number of shares outstanding during the year including fully paid but unissued shares as of the end of the year, adjusted for any subsequent stock dividends declared. Diluted earnings per share is computed by dividing net income for the year by the weighted average number of common shares issued and outstanding during the year after giving effect to assumed conversion of potential common shares. The Group has no existing dilutive shares.

Provisions

Provisions are recognized only when the following conditions are met: a) there exists a present obligation (legal or constructive) as a result of past event; b) it is probable (i.e. more likely than not) that an outflow of resources embodying economic benefits will be required to settle the obligation; and, c) reliable estimate can be made of the amount of the obligation. Provisions are reviewed at end of each financial reporting period and adjusted to reflect the current best estimate.

Contingencies

Contingent liabilities are not recognized in the consolidated financial statements. They are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote. A contingent asset is not recognized in the consolidated financial statements but disclosed when an inflow of economic benefit is probable.

Events after the End of Financial Reporting Period

Post year-end events that provide additional information about the Group's position at the end of financial reporting period (adjusting events) are reflected in the Group's consolidated financial statements. Post year-end events that are non-adjusting events are disclosed in the notes to consolidated financial statements when material.

3. Management's Use of Judgments and Estimates

The preparation of the Group's consolidated financial statements in accordance with PFRS requires management to make estimates and assumptions that affect the amounts reported in the consolidated financial statements and accompanying notes. The estimates and assumptions used in the accompanying consolidated financial statements are based upon management's evaluation of relevant facts and circumstances as of the date of the consolidated financial statements. Actual results could differ from such estimates. The effect of any changes in estimates will be recorded in the Group's consolidated financial statements when determinable.

Estimates and judgments are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

Judgments

In the process of applying the Group's accounting policies, management has made the following judgments, apart from those involving estimations which have the most significant effect on the amounts recognized in the consolidated financial statements:

- *Classification of Financial Instruments and Measurement Criteria*

Under PFRS 9, the Group classifies financial assets at initial recognition depends on the financial assets contractual cash flows characteristics of the Group's business model for managing them. The adoption of PFRS 9, has not had a significant effect on the Group's policy related to financial liabilities.

Prior to the adoption of PFRS 9, the Group classifies a financial instrument, or its component parts, on initial recognition as a financial asset, a financial liability or an equity instrument in accordance with the substance of the contractual agreement and the definitions of a financial asset, a financial liability or an equity instrument. The substance of a financial instrument, rather than its legal form, governs its classification in the statements of financial position.

The Group determines the classification at initial recognition and reevaluates this designation at every reporting date.

- *Determination of Control*

The Group determines control when it is exposed, or has rights, to variable returns from its involvement with an entity and has the ability to affect those returns through its power over the equity. The Group controls an entity if and only if the Group has all of the following:

- Power over the entity;
- Exposure, or rights, to variable returns from its involvement with the entity; and,
- The ability to use its power over the entity to affect the amount of the Group's returns.

The Group regularly reassesses whether it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control listed above.

- *Classification of Leases*

The Group has entered into various lease agreements as either a lessor or a lessee. Critical judgment was exercised by management to distinguish each lease agreement as either an operating or finance lease by looking at the transfer or retention of significant risk and rewards of ownership of the properties covered by the agreements. Currently, all of the Group's lease agreements are determined to be operating leases.

- *Determination of Impairment of Equity Investment at FVOCI*

The Group follows the guidance of PAS 39 in determining when an investment is other-than-temporarily impaired. This determination requires significant judgment. In making this judgment, the Group evaluates, among other factors, the duration and extent to which the fair value of an investment is less than its cost and the financial health of the near-term business outlook for the investee, including factors such as industry and sector performance, changes in technology and operational and financing cash flows.

- *Determination of Fair Value of Financial Instruments*

PFRS requires that certain financial assets and liabilities be carried at fair value, which requires the use of extensive accounting estimates and judgments. While significant components of fair value measurement are determined using verifiable objective evidence (i.e. interest rates, volatility rates), the timing and amount of changes in fair value would differ with the valuation methodology used. Any change in the fair value of these financial assets and liabilities would directly affect income and equity.

- *Measurement of Security Deposits*

The future cash flows of security deposits from the leases cannot be readily determined nor reliably measured because the actual timing of payment cannot be reasonably predicted as these deposits are generally redeposited every renewal of lease contracts, the new terms and conditions thereof are not yet known. Further, the deposit that will actually be repaid to the Group is also attached to a conditional repayment provision that is the faithful performance by the Group as a lessee of its obligations under the lease contracts. Accordingly, security deposits are carried at cost less any impairment.

- *Distinction between Investment Property and Owner-Occupied Property*

The Group determines whether a property qualifies as an investment property. In making its judgments, the Group considers whether the property generates cash flows largely independent of the other assets held by an entity. Owner-occupied properties generate cash flows that are attributable not only to the property but also other assets used in the supply process.

Some properties are held to earn rentals or for capital appreciation and other properties are held for use in rendering of services or for administrative purposes. If the portion cannot be sold separately, the property is accounted for as an investment property only if an insignificant portion is held for use in the production or supply of goods and services or for administrative purposes. Judgment is applied in determining whether ancillary services are so significant that a property does not qualify as investment property. The Group considers each property separately in making its judgment.

Estimates

The preparation of financial statements in accordance with PFRS requires management to make estimates and assumptions that affect the reported amounts of income, expenses, assets and liabilities.

- *Impairment of Receivables*

The Group uses the expected credit losses model in estimating the level of the allowances which includes forecast of future events and conditions. A credit loss is the difference between the cash flows that are expected to be received discounted at the original effective interest rate. The model represents a probability – weighted estimate of the difference over the remaining life of receivables. The maturity of the remaining trade receivables of the Group is less than one year so the lifetime expected credit losses and the 12 months expected credit losses are similar. In addition, management assessed the credit risk of the trade receivables as at the reporting date as low, therefore the Group's trade receivables and due from related parties did not have to assess whether significant increase in credit risk has occurred.

Prior to adoption of PFRS 9, the Group provides an allowance for impairment losses on due from related parties at a level considered adequate for potential uncollectible amounts or are doubtful of collection. The level of allowance is evaluated by the management based on best available facts and circumstances, the length of the Group's relationship with its customers and debtors, the customers or debtors' payment behavior and known market factors. These specific reserves are re-evaluated and adjusted as additional information received affects the amount estimated to be uncollectible. Any increase in allowance would increase operating expenses and decrease related accounts.

- *Net Realizable Value (NRV) of Inventories*

The Group's estimate of the NRV of inventories is based on evidence available at the time the estimates are made of the amount that these inventories are expected to be realized. These estimates consider the fluctuations of price or cost directly relating to events occurring after the end of the reporting period to the extent that such events confirm conditions existing at financial reporting date. The amount and timing of recorded expenses for any period would differ if different judgments were made of different estimates were utilized.

- *Allowance for Inventory Obsolescence*

Provision is established as a certain percentage based on the age and movement of stocks. In case there is write-off or disposal of slow-moving items during the year, a reduction in the allowance for obsolescence if any, is made.

- *Fair Value Measurement of Investment Property*

The Group's investment property composed of parcels of land and buildings and improvements that are carried at revalued amount at the end of the reporting period. In determining the fair value of these assets, the Group engages the services of professional and independent appraisers. The fair value is determined by reference to market-based evidence, which is the amount for which the assets could be exchanged between a knowledgeable willing buyer and seller in an arm's length transaction as at the valuation date. Such amount is influenced by different factors including the location and specific characteristics of the property (e.g., size, features, and capacity), quantity of comparable properties available in the market, and economic condition and behavior of the buying parties. A significant change in these elements may affect prices and the value of the assets.

- *Useful Lives of Property, Plant and Equipment*

Useful lives of property, plant and equipment are estimated based on the period over which these assets are expected to be available for use. Such estimation is based on a collective assessment of industry practice, internal technical evaluation and experience with similar assets. The estimated useful life of each asset is reviewed periodically and updated if expectations differ from previous estimates due to physical wear and tear, technical or commercial obsolescence and legal or other limits on the use of the asset. It is possible, however, that future results of operations could be materially affected by changes in the amounts and timing of recorded expenses brought about by changes in the factors mentioned above. Any reduction in the estimated useful lives of property, plant and equipment would increase the Group's recorded cost of services and operating expenses and decrease on the related asset accounts.

There were no significant changes in the estimated useful lives of the Group's property, plant and equipment during the year.

- *Determination of Pension and Other Retirement Benefits*

The determination of the Group's obligation and cost for pension and other retirement benefits is dependent on management's selection of certain assumptions used by actuaries in calculating such amounts.

Actual results that differ from the assumptions are accumulated and amortized over future periods and therefore, generally affect the Group's recognized expense and recorded obligation in such future periods. While management believes that the assumptions are reasonable and appropriate, significant differences in actual experience or significant changes in management assumptions may materially affect the Group's pension and other retirement obligations.

The Group also estimates other employee benefits obligation and expense, including the cost of paid leaves based on historical leave availments of employees, subject to the Group's policy. These estimates may vary depending on the future changes in salaries and actual experiences during the year.

- *Impairment of Nonfinancial Assets*

The carrying values of nonfinancial assets are reviewed for impairment when events or changes in circumstances indicate that the carrying values may not be recoverable. If any such indication exists, and if the carrying value exceeds the estimated recoverable amount, the assets or cash generating units are written down to their recoverable amounts. The recoverable amount of the asset is the greater of net selling price or value in use. The net selling price is the amount obtainable from the sale of an asset in an arm's-length transaction less cost to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For an asset that does not generate largely independent cash flows, the recoverable amount is determined for the cash-generating unit to which the asset belongs. An impairment loss is charged to operations in the period in which it arises unless the asset is carried at a revalued amount in which case the impairment is charged to the revaluation increment of the said asset.

An assessment is made at each end of financial reporting period to determine whether there is any indication that an impairment loss previously recognized for an asset in prior years may no longer exist or may have decreased. If any such indication exists, the asset's recoverable amount is estimated.

A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the recoverable amount of an asset, however, not to an amount higher than the carrying amount that would have been determined (net of any depreciation), had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in profit or loss. After such a reversal, the depreciation charge is adjusted in future periods to allocate the asset's revised carrying amount, less any residual value, on a systematic basis over its remaining useful life.

- *Impairment of Goodwill*
Purchase accounting requires extensive use of accounting estimates to allocate the purchase price to the fair market values of the acquiree's identifiable assets and liabilities at the acquisition date. It also requires the acquirer to recognize goodwill. The Group's business acquisitions have resulted in goodwill which is subject to a periodic impairment test. The Group determines whether goodwill is impaired at least on an annual basis. This requires an estimation of the value-in-use of the cash-generating units to which goodwill is allocated. Estimating the value-in-use requires the Group to make an estimate of the expected future cash flows from the cash-generating unit and also to choose a suitable discount rate to calculate the present value of those cash flows.
- *Realizability of Deferred Tax Assets and Deferred Tax Liabilities*
Significant judgment is required in determining provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.
- *Fair Value of Financial Assets and Liabilities*
PFRS requires that certain financial assets and liabilities be carried at fair value, which requires the use of extensive accounting estimates and judgments. While significant components of fair value measurement are determined using verifiable objective evidence (i.e. interest rates, volatility rates), the timing and amount of changes in fair value would differ with the valuation methodology used. Any change in the fair value of these financial assets and liabilities would directly affect income and equity.
- *Provisions for Contingencies*
The estimate of the probable costs for possible third party claims, including tax liabilities, if any, has been developed based on management's analysis of potential results. When management believes that the eventual liabilities under these claims, if any, will not have a material effect on the consolidated financial statements, no provision for probable losses is recognized in the consolidated financial statements.

4. Loans Payable

Details of loans availed from local banks are as follow:

Short-term loans

- a. In 2024 and 2025, OPI availed short-term loans from various local banks. Interest rates on loans range from 5.375% to 7.75% per annum. The loans are payable within 1 month to 12 months from the date of availment. Outstanding balance of the loan amounted to ₱692.2 million and ₱667.7 million as of September 30, 2025 and December 31, 2024 respectively.
- b. CWWC availed short-term loans from a local bank which are payable in 90 days and renewable. Interest rates ranges from 6.75% to 7.25% per annum. Outstanding balance of the loan amounted to ₱54.0 million and ₱58.0 million as of September 30, 2025 and December 31, 2024, respectively.

Long-term loans

- a. On April 8, 2011, OPI entered into a loan agreement with a local bank for the establishment of Calapan Diesel Power Plant for ₱275.9 million payable in ten (10) years with six months grace period. Interest is fixed at 9.0% per annum but subject to re-pricing. As of May 5, 2021, interest rate is 6.0% per annum. The loan has been fully paid on May 5, 2021.

Debt Covenant

OPI entered into a Deed of Assignment with Hold-Out relative to the loan, in favor of the bank, OPI's trade receivable under the Power Supply Agreement (PSA) entered with Oriental Mindoro Electric Cooperative, Inc. (ORMECO). Also, the loan requires a portion of OPI's cash in bank pertaining to a Reserve Fund equivalent to two (2) months amortization payable under the loan agreement.

Also, as a security for the loan, OPI mortgaged its 6.4 MW Bunker C-Fired Packaged Power Station in favor of the bank.

- b. On June 25, 2013, OPI availed a term loan agreement with a local bank for the construction of Inabasan Mini-Hydro Power Plant amounting to ₱1.3 billion. The release of loan proceeds depends on the fulfillment, compliance or submission by OPI of the specific conditions for the following project components: civil works, electro-mechanical works, and contingent works. As of September 30, 2025 and December 31, 2024, the total loan amounted to ₱308.7 million and ₱460.6 million, respectively.

On July 15, 2015, OPI availed a term loan agreement with a local bank amounting to ₱90.6 million to finance the costs incurred for OPI's Calapan Diesel Power Plant Expansion. The loan is payable within 10 years with six months grace period. Interest rate is at 9% per annum in 2025. As of December 31, 2024, the loan amounted to ₱6.3 million, respectively. This has been fully paid on July 15, 2025.

In 2025, 2024, 2023, 2021 and 2019, OPI entered into various car loan agreements with a local bank for OPI's BOD and officers' requirements. The cost of the cars was capitalized as part of "Transportation equipment" account. The amount financed by the bank is payable in monthly installments for 5 years with annual interest rates of 8.7% to 10% in 2025 and 2024. As of September 30, 2025 and December 31, 2024, the loan balance amounted to ₱8.3 million and ₱6.3 million, respectively.

- c. In 2005, CWWC entered into a loan agreement with a local bank for the rehabilitation, expansion and improvements of its waterworks system for ₱137.0 million payable in monthly installments until 2022. Interest is fixed at 10.5% per annum, reviewable and subject to adjustment annually thereafter but not to exceed 15% per annum. The loan has been fully paid on December 14, 2022.

In 2014, CWWC entered into another loan agreement with local bank for ₱118.2 million. The loan is payable in ten (10) years with annual interest of 6% to 7%. The proceeds of the loan will be used exclusively to finance the water source development, acquisition of three (3) sets of electro-mechanical equipment, site and land development, construction of a high ground reservoir and expansion of its waterworks system. CWWC was able to negotiate the interest rate at 6.50%-8.50% in 2024 and 2023.

Debt Covenant

CWWC executed a Deed of Assignment relative to the loan, in favor of the bank of (a) a portion of CWWC's Reserve Fund (via Savings or Other Investment Account) equivalent to two monthly interest amortization during the grace period, to increase to two monthly principal and interest amortization after the grace period onwards and (b) billed water/receivables until the amount of the loan is fully paid. The Reserve Fund shall be maintained for CWWC's expenses for maintenance, operation and emergency fund.

Also, the Parent Company, CWWC and major stockholders mortgaged their real estate and other equipment situated in Calapan City, Oriental Mindoro in favor of the bank. The titles of the mortgaged property have already been delivered to the bank.

As of December 31, 2024, this loan has been fully paid.

- d. In April 2024, CWWC, ORDC and Servwell availed car loan financing from a local bank. The cost of the cars was capitalized as part of "Transportation equipment" account. The amount financed by the bank is payable in quarterly installments for 3 years with annual interest rate of 10% in 2024. As of September 30, 2025 and December 31, 2024, the loan balance amounted to ₱3.1 million and ₱4.4 million, respectively.

5. Related Party Transactions

The Group has the following transactions with related parties:

- a. Unsecured and non-interest bearing cash advances made by stockholders to the Group for working capital purposes which are payable on demand and usually settled in cash.
- b. Unsecured and noninterest bearing cash advances from affiliates for working capital purposes which are payable on demand and usually settled in cash.

- c. In 2017, CWWC entered into a contract with an entity under common management for Phase 2 of the 2014 waterworks system development and expansion plan in Calapan City. The total contract cost amounted to ₱152.1 million. In 2020, the contract price was amended to ₱227.0 million.

Affiliates are entities that are owned and controlled by the Parent Company and neither a subsidiary nor associate of the Group. These affiliates are effectively sister companies of the Group by virtue of ownership of the Parent Company.

6. Other Income (Charges) - net

This account consists of:

	Nine months ended September 30	
	2025	2024
Financial costs	(₱57,943,571)	(₱58,278,227)
Bank charges	(2,922,456)	(3,430,143)
Interest income	1,878,700	379,744
Net foreign exchange gain	2,256	7,385
Others	442,860	464,404
	(₱58,542,211)	(₱60,856,837)

7. Income Taxes

The provision for income tax differs from the amount computed by applying the statutory income tax rate to income before income tax due mainly to interest income already subjected to final tax at a lower rate.

Deferred tax assets consist of tax effect of retirement benefits liability, net operating loss carry-over, allowance for impairment losses of receivables, carryforward benefit of minimum corporate income tax, prepaid rental and unrealized foreign exchange loss.

Deferred tax liabilities include tax effect of fair value adjustments in investment property and property and equipment, capitalized borrowing costs, unrealized foreign exchange gain/loss and revaluation surplus recognized under OCI.

8. Earnings Per Share (EPS)

Computation of EPS is as follows:

	Nine months ended September 30	
	2025	2024
Net income (loss) attributable to equity holders of the parent company	(₱17,006,303)	₱59,868,004
Divided by weighted average number of common shares	281,500,000	281,500,000
	(₱0.0604)	₱0.2127

9. Other Matters

The following are major events affecting the Parent Company and subsidiaries:

PHEVI

On February 28, 2022, the SEC approved the amended articles of incorporation reflecting the reduction of par value from ₱1.00 to ₱0.10 a share resulting to an increase in the authorized capital stock from 1 billion shares to 10 billion shares.

2Big Phil

On January 19, 2022, the SEC approved the amendment of 2Big Phil's secondary purpose; the change to perpetual corporate existence; the increase in number of directors from five to nine; the provision for waiver of pre-emptive rights for its stockholders.

OHC

On September 20, 2022, the SEC approved the amended articles of incorporation reflecting the reduction of the par value of its stocks from ₱100.00 per share to ₱1.00 per share; OHC shall have perpetual corporate existence; the authorized capital stock shall be 80 million divided into 80,000,000 common shares, with a par value of ₱1.00 per share and that 19,237,563 shares are to be subscribed by JOH with subscription price of ₱10.00 per share.

OTY, MPC, NRC and KGY

On June 3, 2021 and June 9, 2021, the BOD of OTY, MPC, NRC, and KGT unanimously approved the reduction of the par value of its stocks from 100.00 per share to ₱1.00 per share; the Company shall have perpetual corporate existence; the authorized capital stock shall be 10 million divided into 10,000,000 common shares, with a par value of ₱1.00 per share and that 2,899,500 shares are to be subscribed by OHC with subscription price of ₱10.00 per share. As of September 30, 2025, the Company's application for these amendments was approved by SEC except for OTY which is still pending for SEC's approval.

JOH

On March 4, 2025, the Parent Company received from the SEC the Certificate of Filing the Notice of Property Dividend Declaration dated February 27, 2025, which approved the dividend amount of ₱152.8 million against the earlier disclosed amount of ₱189.5 million. The adjustment is attributed to the SEC's valuation of the property dividend cost with specific identification. The property dividend to be distributed amounting to ₱152.8 million will consist of common shares of 2BIG worth of ₱76.5 million and common shares of PHEVI worth of ₱76.3 million.

OPI

On November 3, 2025, OPI received the Order dated October 8, 2025 from ERC resolving the Motions filed by OPI, NPC and ORMECO.

KEY PERFORMANCE INDICATORS

September

2025 2024

I PROFITABILITY

Return on Total Assets

It measures efficiency of the Group in using its assets to generate net income.

ROA=	$\frac{NI + \{(interest\ exp \times (1 - tax\ rate)\}}{Ave.\ Total\ Assets}$	5,013,247	125,758,202
		6,995,756,182	6,676,848,545
		0.0007	0.0188

Return on Equity

It is a measure of profitability of stockholders' investments. It shows net income as percentage of shareholder equity.

ROE=	$\frac{Net\ Income}{Ave.\ Stockholders\ Equity}$	(38,444,431)	82,049,532
		3,820,515,351	3,642,111,256
		(0.0101)	0.0225

Water Revenue per Subscriber

Measures how well service and facilities improvements have influence consumer's usage.

WRS=	$\frac{Water\ Revenue}{Ave.\ No.\ of\ Water\ Subscribers}$	276,445,703	235,924,326
		27,547	26,580
		10,035	8,876

II FINANCIAL LEVERAGE

Debt Ratio

It is a solvency ratio and it measures the portion of the assets of a business which are financed through debt.

Debt Ratio=	$\frac{Total\ Liabilities}{Total\ Assets}$	3,256,489,914	2,865,574,187
		6,981,393,842	6,552,052,209
		0.4665	0.4374

Debt to Equity Ratio

It measures the degree to which the assets of the business are financed by the debts and the shareholders' equity of a business.

Debt to Equity=	$\frac{Total\ Liabilities}{Shareholder's\ Equity}$	3,256,489,914	2,865,574,187
		3,724,903,928	3,686,478,022
		0.8742	0.7773

III MARKET VALUATION

Price to Book Ratio

Relates the Group's stock to its book value per share.

PB ratio=	$\frac{Market\ value/share}{Book\ value/share}$	6.17	5.00
		9.90	9.92
		0.6232	0.5040

JOLLIVILLE HOLDINGS CORPORATION AND SUBSIDIARIES
AGING OF ACCOUNTS RECEIVABLE
SEPTEMBER 30, 2025 AND DECEMBER 31, 2024

SEPTEMBER 30, 2025					
	Current	1-30 days	31-60 days	Over 60 days	Total
Trade	708,035,408	2,141,856	223,999	39,014,601	749,415,864
Advances and nontrade	964,792	-	-	10,662,772	11,627,564
	<u>709,000,200</u>	<u>2,141,856</u>	<u>223,999</u>	<u>49,677,373</u>	<u>761,043,428</u>
 DECEMBER 31, 2024					
	Current	1-30 days	31-60 days	Over 60 days	Total
Trade	693,085,920	2,096,632	219,269	38,190,845	733,592,666
Advances and nontrade	903,731	-	-	9,987,934	10,891,665
	<u>693,989,651</u>	<u>2,096,632</u>	<u>219,269</u>	<u>48,178,779</u>	<u>744,484,331</u>

JOLLIVILLE HOLDINGS CORPORATION
SCHEDULE OF RETAINED EARNINGS
AVAILABLE FOR DIVIDEND DECLARATION
AS OF SEPTEMBER 30, 2025

Total unappropriated retained earnings, as adjusted at beginning of year	395,948,910
Net loss during the period	(599,390)
Less: Movement in deferred tax assets	(429,567)

TOTAL UNAPPROPRIATED RETAINED EARNINGS AVAILABLE	
FOR DIVIDEND DECLARATION AT END OF PERIOD	P 394,919,953

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

Issuer: **JOLLIVILLE HOLDINGS CORPORATION**

FOR THE REGISTRANT

Chief Executive Officer: **JOLLY L. TING**

Signature and Title: _____



Chief Executive Officer

Chief Financial Officer: **ORTRUD T. YAO**

Signature and Title: _____



Chief Financial Officer

Date: November 13, 2025

CERTIFICATION

I, **ORTRUD T. YAO**, Assistant Corporate Secretary of **JOLLIVILLE HOLDINGS CORPORATION (the "Corporation")**, with SEC Registration Number 134800 and principal office at 4th Floor 20 Lansbergh Place, 170 Tomas Morato Avenue, Quezon City, do hereby certify and state that:

- 1) That on behalf of the Corporation, I have caused this Quarterly Report (SEC Form 17-Q) to be prepared;
- 2) That I read and understood its contents which are true and correct of my own personal knowledge and/or based on true records; and
- 3) That the Corporation will comply with the requirements set forth in SEC Notice dated 24 June 2020 for a complete and official submission of reports and/or documents through electronic mail.

IN WITNESS WHEREOF, I have hereunto set my hand this November 13, 2025.

ORTRUD T. YAO

SUBSCRIBED AND SWORN to before me this 13 NOV 2025 in QUEZON CITY,
affiant exhibiting to me her driver license no. X01-13-003107 valid until July 13, 2034 as
competent evidence of identity.

Doc. No. 66 ;
Page No. 15 ;
Book No. 196 ;
Series of 2025

ATTY. RAYMOND GERARDO S. TANSIP
Notary Public and In Quezon City
Valid until 31 December 2025
Adm Matter No. NP-049 (2024-2025)
Roll Attorney's No. 51106
PTR NO. 7032810/1-2-2025/Quezon City
IBP No. 494039/1-2-2025/Quezon City
MCLE Compliance No. 0018952 Valid until April 14, 2028
73 T. Arguelles St. Brgy. Santol, Quezon City